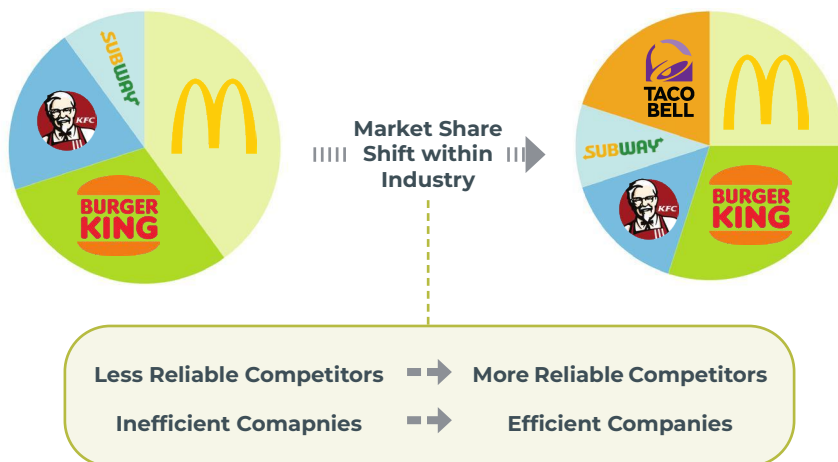




For example, when Jio entered the telecom industry,

- It led to overcapacity in the industry.
- Forced other companies in the industry into cost reduction activities to maintain their customer base.
- The changes in value propositions created space for market share shifts in the industry.
- After waves of consolidation, weaker companies were absorbed by larger ones and newer and stronger firms emerged.^[10]

Entrepreneurs and analysts must be careful while dealing with industries with oversupply as only strong players will survive and the weak ones will die, unlike industries with undersupply, where almost all the firms benefit. Oversupply is a challenge for weak firms.

However, it can also be an opportunity for the stronger ones. One critical area to be reviewed is this: **how long is the industry expected to stay in a state of oversupply?** For industries with high exit barriers, such times can be tough and challenging for all firms. Based on capacity utilization and undersupply/oversupply, firms would have to strategize the way forward for them.

[10]

http://www.strategystreet.com/blog/causes_and_symptoms_of_overcapacity